

Table 12.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	48% up	52% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 19%, M 35%, H 43%	L –15%, M –12%, H –11%
Throwbacks/pullbacks occurrence	68%	62%
Average time to throwback/pullback peaks	4% in 6 days	–5% in 5 days
Average time to throwback/pullback ends	12 days	11 days
Average rise/decline for patterns with throwbacks/pullbacks	38%	–11%
Average rise/decline for patterns without throwbacks/pullbacks	47%	–14%
Percentage price resumes trend	80%	55%
Performance with breakout day gap	32%	–16%
Performance without breakout day gap	43%	–12%
Average gap size	\$0.32	\$0.52

Notice that when throwbacks and pullbacks occur, performance suffers. Because the performance difference is wide, you'll want to avoid nearby support or resistance (which might cause a throwback or pullback to happen).

Gaps. According to the statistics in the table, sometimes a breakout day gap helps performance (downward breakouts) and sometimes it hurts (upward breakouts). In other chart patterns, we usually see a performance boost if a gap occurs, but often the boost is minor.

Table 12.5 shows pattern size statistics.

Height. Height is an excellent predictor of future performance (taller ones do best)—except for this chart pattern, at least for upward breakouts. Downward breakouts perform best if the pattern is tall.